This document is an authorized copy for the course Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

University of Navarra

DPON-12-E
0-404-022

Trust in Boss-Subordinate Relationships

1. Introduction

Many managers attest that trust among the members of an organization is an essential ingredient for organizational success. High-performance teams are characterized by mutual trust among group members. Leaders cannot transform or adapt an organization unless their followers trust them. A climate of trust among the members of an organization fosters cooperation and collaboration, and makes it possible for employees to express their ideas and share resources and knowledge with others. And that translates into greater satisfaction, greater organizational commitment, and better performance. Conversely, if trust is lacking among the members of an organization, or if there is distrust, people adopt a defensive attitude, which is detrimental to the working climate in the organization and to organizational performance.

And yet, although it is widely acknowledged that trust is important, actually creating trust seems to be difficult. In today's world of constant re-engineering and mergers, downsizing and temporary employment, employees' trust in their bosses has been seriously undermined. A recent

This technical note was prepared by Professor Pablo Cardona and Aitziber Elola, Doctoral Student. February 2004.

Copyright © 2004, IESE. To order copies or request permission to reproduce materials, call IESE PUBLISHING 34 932 534 200, send a fax to 34 932 534 343, or write Juan de Alós, 43 - 08034 Barcelona, Spain, or iesep@iesep.com
No part of this publication may be reproduced, stored in a retrieval system, used in a spreadsheet, or transmitted in any form or by any means - electronic, mechanical, photocopying, recording, or otherwise - without the permission of IESE.

Last edited: 5/3/08

This document is an authorized copy for the course Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

survey by a Chicago-based company, for example, revealed that 40% of employees agreed with the statement: "Often I don't believe what my bosses tell me"[1].

In this note we shall try to elucidate the factors that determine the level of trust in boss-subordinate relations, and the trust-building process itself. We begin by explaining the different meanings of trust. We then establish a definition of trust based on the psychological perspective. We describe the determining factors for the existence of trust and, in terms of these antecedents, explain the different types of trust and introduce the trust matrix. After that, we examine the process by which trust and distrust develop. Lastly, we distinguish between power and authority as possible consequences of trust in the boss-subordinate relationship.

2. Different Perspectives on Trust

Trust has been studied in different disciplines, including economics, sociology and psychology. In this section we give an overview of how trust has been studied in different social sciences.

2.1. Economic View

When economists relaxed the basic assumptions of the classical model (unbounded rationality and complete information), the problem of uncertainty in interactions among economic agents came to the fore. The study of trust has emerged in response to that uncertainty. In economics, trust is studied from two different perspectives: transaction cost theory, and game theory.

a) *Transaction Cost Theory*: According to this theory, organizations are more efficient mechanisms than the market when: 1) there are specific assets with their respective sunk costs, 2) there are limits to agents' ability to anticipate contingencies and process information (bounded rationality), and 3) there is the possibility of obtaining benefits at the expense of others (opportunism). It is in relation to this last point that trust can play an important role in economic relations: transaction costs will be considerably reduced if each party is able to trust the other not to behave opportunistically.

   However, according to some proponents of transaction cost theory, opportunistic behavior by the parties can only be controlled by means of structural guarantees (hierarchical structure and legal mechanisms)[2]. If that is the case, trust is simply a rational calculation that, once the above-mentioned structural guarantees are taken into account, the benefits of not acting opportunistically in an interaction outweigh the benefits of acting opportunistically.

[1] Cf. Robbins, S.P. (2001), *Organizational Behavior*, (9th ed.), New Jersey, Prentice-Hall.

[2] Williamson, O.E. (1993), "Calculativeness, trust and economic organization", *Journal of Law and Economics*, 30, pp. 131-145.

This document is an authorized copy for the course Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

b) *Game Theory*: This theory studies trust based on the well-known Prisoner's Dilemma. Two individuals are faced, in conditions of uncertainty, with the decision whether or not to cooperate. The best individual outcome is obtained when one of the two does not cooperate and the other does. The worst possible outcome is obtained if neither party cooperates. And the best joint outcome is obtained when both cooperate. If the game is repeated only once, both individuals have incentives not to cooperate, even though this may lead to the worst possible result. If the game is repeated several times, however, the outcome is best if the interaction is based on trust and both parties are willing to cooperate.

Both in transaction cost theory and in game theory, trust is studied in terms of a rational choice, an orientation toward risk based on rational calculation. This view of trust based on rational calculation comprises a number of elements. First, the information or knowledge that makes it possible for one person to trust another. Second, the incentives for the trusted person to do what is expected, to honor that trust. These models overestimate people's cognitive capacity, the degree to which they actually make a rational calculation, and the extent to which they have stable and ordered preferences. This conceptualization of trust leaves a very limited role for social and emotional influences in the development of trust.

2.2. Sociological View

Sociologists study trust in terms of a general attitude toward other people and society as a whole. They see trust as an inherent characteristic of relations between persons or institutions, and believe that it can be developed in contexts in which the parties have shared values or rules. Social rules determine both parties' behavior and their beliefs about the behavior and intentions of others, and institutions either promote or inhibit trust-based relationships. Where there are shared values or rules and trust, there is solidarity, and personal interests are subordinated to the attainment of the common good[3].

This leads sociologists to suggest that for there to be trust, there must be some kind of social affinity, often in opposition to other groups: one ethnic group versus another, managers versus workers, women versus men, veterans versus new employees, etc. Although it is true that social factors facilitate trust (particularly the first steps in the trust-building process), experience shows that it is possible for trust to develop between people from very different cultures and backgrounds, provided there is the right context for them to get to know one another.

2.3. Psychological View

Psychology analyzes trust in terms of the characteristics of the people involved in the relationship and the gradual accumulation of knowledge about the other party's

[3] See, for example, Fukuyama, F. (1995), *Trust: The social virtues and the creation of prosperity*, New York, Free Press.

This document is an authorized copy for the course Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

behavior. As we shall see in more detail later on, from the psychological perspective trust is seen as the outcome of certain characteristics of the person who trusts (such as her propensity to trust others) and her perceptions regarding the person whom she trusts (professional competence, style of communication, consideration, etc.). These perceptions may be the fruit of direct or indirect experience of the other party, that is, interactions between the two in the past, or observation of the trusted person's behavior toward other people.

3. Definition of Trust

There is no generally accepted definition of trust. Nevertheless, regardless which view we adopt (economic, sociological or psychological), most definitions understand trust as a relationship that includes a certain vulnerability and positive expectations with respect to other people's behavior. We therefore define trust as *a willingness to be vulnerable to the action of another person, based on positive expectations about the other person's intentions and behavior*[4]. From this definition it follows that trust is not a type of behavior (unlike, say, cooperation), nor a choice (such as taking a risk), but an attitude toward a particular person which may be the cause or consequence of such behavior or choices.

More specifically, we can distinguish three principal elements in this definition:

- Trust is *relational*, that is, it exists only in interaction with others. Moreover, the degree of interdependence between two individuals will make it more or less necessary for them trust one another in order to be able to perform their tasks. For example, trust is more necessary for teamwork than it is for production line work. The same applies to the relationship between a boss and a subordinate. For instance, if the subordinate needs to work closely with her boss in order to do her job well, it will be more important to have a relationship of trust than if she works largely independently of the boss.

- Trust includes *vulnerability*, which reflects the uncertainty and risk inherent in any relationship between people. This vulnerability is due to the fact that it is impossible to control the actions of others. In the case of a subordinate's trust in her boss, the uncertainty derives from the possibility that the boss will behave opportunistically, in which case the subordinate will suffer the damaging consequences of her boss's actions. For instance, if an employee discloses private information to her boss, she faces the possibility that the boss will use that information against her. Therefore, if a subordinate trusts her boss, she effectively accepts a situation in which the damage she will suffer if the boss takes advantage of her vulnerability is greater than the benefit she may obtain if the boss does not exploit the vulnerability. Otherwise, it would not really be trust, but a "calculated risk".

[4] Rousseau, D.M., Sitkin, S.B., Burt, R.S. & Camerer, C. (1998), "Not so different after all: A cross-discipline view of trust," *Academy of Management Review*, 23, pp. 393-404.

This document is an authorized copy for the course Master in Management 2027 - Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

- A subordinate's trust in her boss is also founded on *positive expectations* regarding the boss's intentions and/or behavior. In the case of intentions, the expectations derive from the belief that the boss will take the subordinate's needs into account in her decisions. In the case of behavior, the expectations are based on observation of a certain consistency in the boss's behavior over time.

Determining Factors for Trust

Besides understanding what we mean by trust, it is also important to identify the factors that promote trust (or distrust) among the people in an organization, as they are the levers we may be able to operate in order to increase the level of trust in a relationship. The most recent studies of the subject from the psychological perspective distinguish two types of characteristics that determine the level of trust in boss-subordinate relationships: personal factors and the boss's behavior.

3.1. Personal Factors

Under the heading of personal factors comes a series of characteristics of boss and subordinate that affect the extent of the subordinate's trust in her boss. We shall distinguish three types of characteristics:

a) *Demographic characteristics.* Various researchers have found that similarities between boss and subordinate are positively correlated with the subordinate's trust in her boss. According to these authors, when two people are demographically similar (in age, sex, race/ethnic group), they find it easier to understand one another, which facilitates the development of trust.

b) *Personal characteristics.* People differ in their propensity to trust. Depending on past experience, personality and cultural background, some people are more predisposed than others to trust people. For instance, a person who has had unpleasant experiences in the past will tend to adopt a more defensive attitude when starting a new exchange relationship, as will a person from a more individualistic culture. This predisposition will affect an individual's initial perceptions of and first interactions with any other person. All the same, a person has different experiences in her interactions with different individuals, so once a given relationship has established itself, the unique experiences of that relationship will tend to outweigh the effects of this personal characteristic.

c) *Professional competence of the boss.* By competence we mean the knowledge and skills the boss needs to have in order to do her job. Subordinates will judge whether or not a boss is qualified to do her job well, and will either trust or distrust her accordingly. This judgment may initially be based on formal qualifications, or reputation acquired in other contexts. After a time, however, personal experience gained in day-to-day interaction with the boss becomes more important.

This document is an authorized copy for the course Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

3.2. Boss's Behavior

Apart from the personal factors, subordinates will judge a boss's trustworthiness based on the way the boss behaves in interactions with them. In a specific study on this subject, Whitener, Brodt, Korsgaard and Werner pinpoint five types of behavior by bosses that foster trust in subordinates[5]: a) consistency, b) integrity, c) communication, d) delegation, and e) consideration.

a) *Consistency.* This refers to predictable behavior. If the boss's behavior is consistent over time and in different circumstances, the subordinate will find it easier to predict how her boss will behave in the future and so will be more willing to take risks. Consistency does not mean that the boss automatically acts in the same way when faced with the same situation, but that she acts logically in every situation and that the subordinate understands her logic.

b) *Integrity.* As an antecedent of trust, integrity encompasses two factors. First, the subordinate perceives that the boss adheres to a series of principles and practices that the subordinate accepts. Second, the subordinate perceives a coherence between the boss's values, words and actions. Specifically, the subordinate expects her boss to tell the truth, keep her promises, and be honest.

   Although consistency and integrity appear quite similar, they are in fact different. Both refer to a certain predictability in the boss's behavior that reduces the perceived risk for the employee. Consistency, however, refers to predictability based on coherence of past actions, whereas integrity refers to predictability based on coherence between words and deeds.

c) *Communication.* Subordinates tend to be more willing to trust the type of boss who is receptive, and who is willing to listen and accept other people's ideas (bottom-up communication). Transparency in the boss's communication with the subordinate (top-down communication) is also important: subordinates will trust their boss more if she shares information that affects them, provides detailed and timely information, and explains to them any decisions that have been taken.

d) *Delegation.* The degree to which employees are involved in the organization's decision-making also influences the way trust develops. Thus, delegation of authority, employee participation in decision making, and employees' autonomy to make their own decisions are also antecedents of trust. Participation does not necessarily mean that decisions are taken jointly or by consensus, but that the parties affected by the decisions are involved in some way in the decision-making process. For instance, the subordinates may not actually make the decisions that affect them, but the managers may take the subordinates' opinions into account when making them.

---

[5] Whitener, E.M., S.E. Brodt, M.A. Korsgaard and J.M. Werner (1998), "Managers as initiators of trust: An exchange relationship framework for understanding managerial trustworthy behavior," *Academy of Management Review*, 23, pp. 513-530.

This document is an authorized copy for the course Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

Delegation of authority and employee participation in decision-making give employees greater control over the situation and so reduce the risk of opportunistic behavior by the boss. And the boss demonstrates, through her behavior, that she trusts and respects her subordinates, which in turn – as we shall see further on – encourages them to trust the boss.

e) *Consideration.* A boss creates trust among her subordinates by showing an interest in and respect for individuals. Bosses show interest in employees through three types of behavior: 1) by showing consideration and being sensitive to the employees' needs and interests, 2) by acting in such a way that the employees' interests are protected, rather than encouraging selfishness and opportunism, and 3) by abstaining from exploiting others and going against their interests for selfish gain. In other words, the boss's behavior suggests a genuine interest for the employees' well-being and implies a certain "attachment" to the employees.

5. Trust Matrix

Personal factors and the boss's behavior are the two dimensions that we find in every interaction between a boss and a subordinate. The personal factors correspond to the characteristics of the participants in the interaction, and the boss's behavior reflects the dynamic between boss and subordinate. For a complete diagnosis of the relationship of trust between the two, both the personal factors and the boss's behavior must be taken into account, as both contribute to the development of interpersonal trust. Based on these dimensions, then, we have drawn up the following matrix, which distinguishes four basic categories in the trust relationship.

Figure 1
Matrix of trust

		Behavior	
		–	+
Personal factors	+	Respect	Trust
	–	Distrust	Respect

Favorable personal factors are a necessary condition for trust in interpersonal relationships. Although demographic similarity and a general propensity to trust may become less important as time goes by, it seems obvious that nobody will trust an incompetent boss. If a boss lacks the necessary professional competence, there are two possible scenarios. Either the boss is incompetent but displays a minimum level of the five basic trustworthy behaviors described earlier, in which case the subordinates may

This document is an authorized copy for the course Master in Management 2027 - Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

respect the boss as a person but will be unlikely to trust her as a professional, as her incompetence may lead her to make decisions that are detrimental to them. Or else the boss is incompetent and her behavior is unacceptable as well, in which case the subordinates will tend to distrust her.

Apart from the personal factors, the boss must also demonstrate a minimum level of the five basic trustworthy behaviors. If she does, her subordinates will acquire positive expectations about her behavior and will be more willing to accept a certain level of vulnerability in the relationship. If the boss does not reach the minimum level of trustworthy behavior, there are again two possible scenarios. Either the boss displays favorable personal qualities, such as professional competence or demographic affinity with her subordinates, in which case the subordinates will tend to respect her (above all in her decisions), without necessarily trusting her. Or the boss not only lacks trustworthy behavior, but also lacks favorable personal qualities, in which case the logical outcome is distrust.

These two basic dimensions of trust are not equally changeable in the short term. Personal factors tend to remain stable over time, and some are unchangeable. The age difference between a boss and a subordinate, for example, is obviously not going to change as time goes by. Knowledge and skills, however, certainly can change, although there is unlikely to be any radical change in the short term. Behavior, in contrast, can indeed change dramatically in the short term. For example, dishonest behavior can transform a relationship of trust instantly. That is not to say that all behaviors have an immediate effect in the short term. For example, a boss who has lost her subordinates' trust through dishonest behavior will have to demonstrate a long period of integrity before she can regain their trust.

The two dimensions also differ in terms of the boss's capacity to generate trust. As the personal factors are less changeable, trust will depend mainly on the boss's fit with the job: whether she has the necessary experience, whether she is the right age for the job, etc. Behavior, in contrast, is something the boss certainly can control. Even if a boss lacks experience or is not the right age, she can always behave in a way that generates a minimum amount of trust until she acquires the necessary experience.

6. Dynamics of Trust

Trust evolves gradually over time. That is why the length of a relationship is often considered an indicator of the degree of trust between the parties. Specifically, the number of years a boss and her subordinate have worked together is thought to be positively correlated with the level of trust between them. And yet, trust does not develop automatically as time passes, but according to the quality of the interactions between the parties.

As a rule, the initial level of trust that a subordinate has in her boss will be determined by personal factors. Thus, the more demographically similar they are and the greater the subordinate's propensity to trust others, the more initial trust there is likely to be. The subordinate will also judge the boss's competence and trustworthiness based on

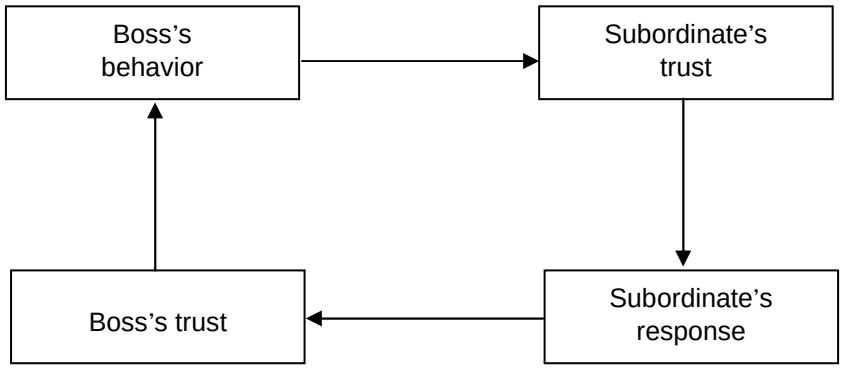
This document is an authorized copy for the course Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

information received from third parties or on observation of how her boss behaves toward other people.

Once boss and subordinate start to interact, trust will develop as the quality of their interactions allows. Both the boss's behavior and the subordinate's response will influence this process, as they establish a dynamic relationship of mutual influence. However, because she is in position of greater influence, the boss's behavior is critical, as it crucially affects the subordinate's motivation in the relationship. From her position of influence, the boss has the opportunity –and also the responsibility– to create high value added associations with her collaborators. The type of association eventually established will depend ultimately on the subordinate, but experience has shown that in most cases, due to the principle of reciprocity, the subordinate will end up seeking in the relationship whatever the boss values most[6].

The interaction process starts with the boss's initial assessment of the subordinate's capabilities. Based on that assessment, the boss forms certain expectations about the subordinate's future behavior, and acts. If the boss judges that the subordinate is trustworthy, she may, for example, give the subordinate important information, relax the controls, etc. As a result, the subordinate will see that the boss trusts her and will tend to respond in kind, trusting the boss and cooperating with her. This will reinforce the boss's initial expectations with respect to the subordinate, and so the trust will continue to grow[7]. Therefore, insofar as the subordinate's trust of the boss reinforces the boss's trust of the subordinate, we can say that trust is a reciprocal phenomenon[8].

Figure 2
How trust develops



[6] Cardona, P. (2001), "Liderazgo relacional," in Juan Antonio Pérez López et al., *Paradigmas del liderazgo: Claves de la dirección de personas*, Madrid, McGraw-Hill.

[7] Zand, D.E. (1972), "Trust and managerial problem solving," *Administrative Science Quarterly*, 17, pp. 229-239.

[8] Brower, H.H., F.D. Schoorman and H.H. Tan (2000), "A model of relational leadership: The integration of trust and leader-member exchange," *Leadership Quarterly*, 11, pp. 227-250.

This document is an authorized copy for the course Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

And yet, trust does not necessarily have to be reciprocated. It may be that the boss trusts the subordinate, but the subordinate does not trust the boss, or vice versa. For example, when a subordinate first starts to work with a highly respected boss, she may have a blind faith in the boss, whereas the boss cannot yet trust the new subordinate until she has proven her worth. And even if the two trust one another, the subordinate's trust of the boss and the boss's trust of the subordinate may not be equal. In any case, it has been empirically demonstrated that there is a degree of reciprocity in trust building, as Figure 2 above shows.

Thus, trust in a relationship gradually evolves. With trust, the boss-subordinate relationship evolves from one initially based on economic exchange and contractual performance to one based on identification[9]. Following Lewicki and Bunker, we can distinguish three stages in the development of trust, as outlined below.

5.1. Relationship Based on Calculation

In this type of relationship, each party uses control mechanisms established within the organization to see to it that the other fulfills her obligations under the agreement. That is to say, the parties ensure adherence to the agreement by means of pre-established penalties, by the coercive power given to the parties[10], and by the offering of rewards for contractual performance[11]. For many authors, cases such as this are not, strictly speaking, examples of trust at all, as cooperation is the result of coercion and efforts to avoid negative consequences, rather than positive expectations[12].

5.2. Relationship Based on Mutual Knowledge

As the parties interact, they get to know one another. If both parties' behavior is honest and consistent over time, if there is a transparent exchange of information, and if there is joint participation in decision making, then it is possible that the level of trust will grow and there will be less need for the use of coercive measures. In such a relationship, the parties respect one another, and each trusts the other, on account of that respect, to meet her commitments. However, there is not necessarily any interest in the needs of the other party.

5.3. Relationship Based on Identification

Eventually, the parties to the relationship may develop such trust that they identify with the needs, preferences and priorities of the other, and act to satisfy those needs.

---

[9] Lewicki, R.J. and B.B. Bunker (1996), "Developing and maintaining trust in work relationships," in R.M. Kramer and T.R. Tyler (Eds.), *Trust in organizations: Frontiers of theory and research* (pp. 114-139). Thousand Oaks, Sage.

[10] Pérez-López, J.A. (1996), *Fundamentos de la dirección de empresas*, (3rd ed.), Madrid, Rialp.

[11] Lewicki, R.J. and B.B. Bunker (1996), "Developing and maintaining trust in work relationships," in R. M. Kramer and T.R. Tyler (Eds.), *Trust in organizations: Frontiers of theory and researc*h (pp. 114-139). Thousand Oaks, Sage.

[12] Rousseau, D.M., Sitkin, S.B., Burt, R.S. & Camerer, C. (1998), "Not so different after all: A cross-discipline view of trust," *Academy of Management Review*, 23, pp. 393-404.

This document is an authorized copy for the course Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

This type of trust appears when the boss shows genuine interest in and consideration for the subordinate.

Just as trust can grow, it can also disappear, and even turn to distrust. As mentioned earlier, a single action can be enough to undermine all the trust one person has placed in another. Trust may also be lost more gradually, in a process that is the reverse of trust building. For example, if the boss makes a mistake once, the subordinate's trust in her boss may decrease in proportion to the seriousness of the mistake. If the mistake is repeated again and again, the subordinate may end up losing all trust in her boss. And if, added to that, the boss is inflexible and disrespectful, the subordinate may start to positively distrust her. That is because, in this case, the boss is perceived as being incompetent, while her behavior is not the kind to generate trust. Following a loss of trust, the relationship deteriorates in quality, from a relationship based on identification to one based on knowledge, and finally to one based on calculation.

Power and Authority

An important consequence of trust between boss and subordinate is the type of influence the boss is able to exert on the subordinate. Usually, a manager is able to exercise two types of influence on a collaborator: power and authority. The distinction between these two depends on what gives a person legitimacy to exercise influence over another. Power (*potestas*) is the capacity to influence another that comes from a person's position. Position includes not only a person's position in the hierarchy but also the status of that position, where the person stands within the network of information and resource control, etc. When a person has power over another, it is because that other person has a need that only the former can satisfy. In contrast, authority (*auctoritas*) is the capacity to influence another person that comes from the other person's free acceptance of such influence[13]. Authority does not come from rank; rather, it comes when a person authorizes another to exercise influence over her. Authority is a consequence of the trust that people have in the person they authorize to exercise influence over them. Therefore, in a boss-subordinate relationship, the boss's authority will depend on the personal factors and boss behaviors that we have discussed in this note. Although, in theory, a manager could exercise both types of influence (authority and power) at the same time, in practice that is not always possible or desirable.

A manager must secure a minimum of cooperation from her subordinate. That minimum of cooperation is an obligation deriving directly from the contractual agreement between the employee and the company, and it demands that the manager wield a certain amount of formal power. There are very few things that should be imposed on people using hierarchical power: basically, the strategic, organizational and ethical policies following from the contractual relationship. If the subordinate does

[13] This distinction – which comes from the Latin – has been somewhat blurred by the inversion of the meanings of the two terms in colloquial use. Authority is used to refer more to formal power than to authority as defined here, and power can be understood as a personal power base, more in accord with what we have called authority. One way to resolve this confusion is to think in terms of "formal and informal authority" (or "formal and informal power").

This document is an authorized copy for the course Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

not comply with these, the manager must have the power to impose appropriate penalties. Otherwise, the company effectively leaves the manager in a weak position, which means that the company will never be able to work properly. If a manager does not have the power to make certain critical decisions or issue certain basic orders, she must win the trust of top management to obtain more power. This process calls for a degree of political activity and depends on the network of relationships that the manager maintains with key people in the company (networking). Power must be used correctly in order to manage people, and to do that it is legitimate to seek a sufficient power base to ensure the necessary minimum of cooperation. That is why a good manager also needs to be a good politician.

Once the contractual minimum is guaranteed, however, hierarchical power loses its usefulness. While power can be used to demand minimums, it is only based on authority that a manager can demand the best of her subordinates. Some managers feel the need for more power to manage their people, when in fact what they need is more authority. Because they are unable to obtain more than the basic contractual minimum of cooperation from their subordinates, they feel frustrated and even offended. That is when they are most liable to give in to the temptation to use power beyond what is appropriate, which is dangerous, because the most direct consequence of the misuse of power is loss of authority, and therefore, less capacity to demand the best of people. Once authority has been lost, it is very difficult to regain. We can distinguish three different ways of misusing power[14]:

1. *Not using power when it should be used.* If policies are not complied with or a decision has to be made at a managerial level (which cannot or should not be delegated to lower levels), and the manager does not use the legitimate power that is hers by virtue of the post she holds, then she will lose authority. This is what happens, for example, if a manager fails to confront and/or discipline a subordinate who repeatedly flouts regular working hours.

2. *Using power unnecessarily.* If a manager restricts her subordinates' freedom unnecessarily by refusing to delegate decisions or tasks that should be delegated, or by imposing an arbitrary personal way of doing things, then she will lose authority. For example, a manager who wants to have the last word on everything, even wanting to choose the menu when the team go out to dinner together.

3. *Using power unjustly.* If a manager oversteps the limits in the use of her formal power by abusing her position, she not only loses authority but also the respect of others. People may respond with legitimate defensive behaviors: if possible, they may report her misuse of power; if not, they may take other steps that are more or less damaging to the company. Unjust use of power is what today is known as mobbing. For example, a boss who

[14] Pérez-López, J.A. (1996), *Fundamentos de la dirección de empresas*, (3rd ed.), Madrid, Rialp.

This document is an authorized copy for the course Master in Management 2027 - Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

forces her subordinate to work overtime with the threat that if she refuses, the boss will not "help" her to win promotion.

As we have seen, if a manager uses power beyond the field of contractual minimums, she will not boost her influence over the subordinate, but rather the opposite: she will undermine her authority, which is the only type of influence she can have beyond the minimum cooperation required by contract. That authority, which is the foundation of true leadership, is acquired by developing the subordinate's trust in the boss. In this note we have seen how trust can be developed, and also how it can be lost. If a good manager requires a certain minimum political flair, a leader needs above all to develop her subordinates' trust.

Conclusion

Considering how important it is for organizational success, trust among the members of an organization in general, and between subordinates and managers in particular, has been widely studied in the management literature of the last few decades. During this period, the focus has shifted from the personal factors that affect the level of trust between two people to the relationship between boss and subordinate, and the individual behaviors that generate trust. In this note we have seen how a combination of personal factors (especially professional competence) and critical behaviors determine the level of trust among individuals in an organization.

Trust in boss-subordinate relationships evolves as the relationship develops from one based on economic exchange towards one based on identification. Because the boss holds a position of greater influence, we have concentrated on the behavior of the boss as a determinant of the level of trust shown by employees. We have identified five factors: consistency, integrity, communication, delegation, and demonstration of interest. Seeing these five types of behavior, particularly the last one, the subordinate will realize that her boss is acting out of altruistic motives, and that perception will open the way for trust to develop. That is why it will be particularly important for managers to engage in behavior that makes subordinates trust them.

Lastly, we have seen how trust boosts the boss's authority and, therefore, her ability to demand a higher degree of cooperation than the contractual minimum. Authority may be eroded by misuse of power, if power is used more (or less) than contractual obligations require. Ultimately, trust and authority are won not with cunning, but with exemplary behavior.